Ind AS 19 — Deep Dive

Full DB numerical, asset ceiling, compensated absences, plan events. ₹ lakh.

① Defined benefit — full worked example

*Opening DBO 1,000; opening plan assets 900; discount rate 8%. Current service cost 120; **past service cost 30** (plan amended during year); contributions 150 and benefits paid 80 (both at year-end). Actuary: closing DBO **1,140**, closing plan assets **1,060**.*

DBO	
Opening	1,000
+ Current service cost	120
+ Past service cost	30
+ Interest 8% × 1,000	80
− Benefits paid	(80)
Expected closing	1,150
Actuarial gain (balancing)	**(10)**
Closing (actuary)	1,140

Plan assets	
Opening	900
+ Interest income 8% × 900	72
+ Contributions	150
− Benefits paid	(80)
Expected closing	1,042
Return excl. interest (balancing)	**18**
Closing (actuary)	1,060

Where it goes	Amount	Statement
Service cost (120 + 30)	150	P&L
Net interest 8% × net liability 100 (= 80 − 72)	8	P&L
Total P&L charge	**158**	
Remeasurement gain (10 + 18)	**(28)**	OCI

Check: opening net liability 100 + P&L 158 − OCI gain 28 − contributions 150 = **80** = closing DBO 1,140 − plan assets 1,060 ✓

⚠ TRAP

Interest on plan assets = **discount rate × opening assets**, not actual return. Past service cost → **P&L immediately**, even if benefits are unvested. Contributions & benefits paid only move balances — they're not expenses.

② Asset ceiling 64 · 65

DBO 800; plan assets 1,000 → surplus 200. PV of economic benefits available (refunds / reduced future contributions) = 150.

Working	₹ lakh
Surplus	200
Asset ceiling	150
Net defined benefit asset recognised (lower)	**150**
Effect of asset ceiling 50 → **OCI** (remeasurement); next year, interest on the ceiling effect → part of net interest in P&L	50

③ Accumulating compensated absences — classic

100 employees, 5 days' paid sick leave a year; unused leave carried forward **one year**; leave taken first from current year. At year-end, average unused = 2 days. Expected next year: 92 employees take ≤ 5 days; 8 take 6.5 days each.

Working	Days
92 employees use current entitlement only → no carried-forward used	0
8 employees use 1.5 days of carried-forward each	**12**
Liability = 12 days of sick pay (expected, not the full 200 days unused)	

→ Non-vesting accumulating → still a liability (expected use). **Vesting** → full amount unused

→ Non-accumulating (lapses) → no liability until absence occurs

④ Other long-term benefits — the P&L trap

Leave encashment (not wholly within 12 m)	₹ lakh
Current service cost	40 → P&L
Interest cost	12 → P&L
Actuarial loss	15 → **P&L (not OCI)**

Post-employment DB → remeasurement in **OCI**. Other long-term (leave, long-service award) → **everything in P&L**.

5 Plan amendment / curtailment / settlement mid-year

1. Remeasure net DBL **immediately before** the event using current assumptions (difference → OCI)
2. Past service cost / settlement gain or loss = change in DBO from the event → **P&L**
3. For the **rest of the year**, compute current service cost & net interest using the **updated** assumptions and remeasured net DBL (2019 amendment)
4. Asset ceiling effect after the event → OCI

Event	Meaning
Curtailment	Significant **reduction in number of employees** covered (plant closure) → past service cost (usually a gain)
Settlement	Eliminates all further obligation (lump-sum buy-out / annuity purchase) — **not** normal benefit payments per plan terms
Plan amendment	Benefits introduced / changed (incl. by **law**)

6 Termination benefits — VRS

- → VRS offered 1 Mar, acceptance window to 15 Apr: recognise when entity **can't withdraw** the offer — for a VRS, when employees **accept** (or a restriction on withdrawing takes effect)
- → Involuntary plan → when communicated with sufficient detail & unlikely to change
- → Measured per benefit nature: within 12 m → undiscounted; beyond → discounted

7 Indian situations

Case	Treatment
PF to EPFO / RPFC	**DC** — expense contribution
PF in exempt trust, employer guarantees EPFO rate	**DB** — provide for interest shortfall (actuarial / deterministic)
Gratuity funded with LIC group policy	**DB**; LIC policy = **plan asset** if qualifying insurance policy
Superannuation (fixed % to LIC)	**DC**
Statutory bonus (Payment of Bonus Act)	Short-term; accrue for the year
Law widens wage base for gratuity	**Past service cost** → **P&L** (verify date for your attempt)

✍ Write in exam

"As per para 120 of Ind AS 19, service cost and net interest on the net defined benefit liability are recognised in profit or loss, while remeasurements of the net defined benefit liability are recognised in other comprehensive income; past service cost is recognised in profit or loss at the earlier of the plan amendment and the recognition of related restructuring costs (para 103)."